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WHERE ARE WE IN THE CYCLE?

A Data-Driven Breakdown of Bitcoin's Position
in the 2024-2028 Halving Cycle

-52%

Decline From Peak

\$126K

Oct 2025 Cycle High

Not vibes. Not narratives. History.

February 2026 | Data as of Feb 6, 2026

For educational purposes only. Not financial advice.

WHY CHART OVERLAYS LIE

You've probably seen it: someone overlays a 2020 chart on top of 2026 and says "history repeats itself." It gets thousands of shares.

But two charts can look identical and mean completely different things. What drives price isn't the shape of candles. It's what's happening underneath: liquidity, supply events, and macro conditions.

Here's what was actually happening in 2020 vs. today.

Halving	May 2020 (that year)	April 2024 (2 yrs ago)
Prior Price Action	-84% bear market	+700% in 3 years
M2 Money Supply	+25% in one year	+15% over 5 years
Stimulus Checks	\$2,400/person	None
Business Stimulus	\$25K PPP loans	None
Market Sentiment	Extreme fear/apathy	Cooling from euphoria
Institutional ETFs	Did not exist	Net sellers in 2026
Fed Policy	Cutting + printing	Uncertain

TAKEAWAY: The 2020 setup had 4 simultaneous tailwinds. In 2026, all 4 are absent or reversed.

THE LIQUIDITY PROBLEM

Bitcoin doesn't move on chart patterns alone. It moves on liquidity.
And in 2020, we saw the largest liquidity injection in modern history.

2020 MONEY PRINTING

\$3.9 TRILLION

+25% of all money in existence
Printed in a single year

2021 - 2026 (5 YEARS)

+15%

Total liquidity growth
Over five years combined

They printed almost DOUBLE in 2020 alone what took 5 years after.

WHY THIS MATTERS FOR BITCOIN

1. **More dollars printed = each dollar worth less = hard assets go up.**

This was the primary fuel for Bitcoin's 2020-2021 rally.

2. **Stimulus checks went directly into brokerage and crypto accounts.**

Robinhood and Coinbase saw record signups in 2020-2021.

3. **The Fed was cutting rates AND printing simultaneously.**

Today the Fed's direction is uncertain, with no QE in sight.

4. **Free money creates artificial demand that doesn't exist organically.**

When the printer stops, the demand disappears with it.

THE HALVING CYCLE DATA

Every cycle, Bitcoin's block reward gets cut in half. Historically, this has been the catalyst for massive bull runs. But the data shows diminishing returns.

2012 HALVING

Nov 28, 2012

Reward: **50 to 25 BTC**Low: **\$12**Peak: **\$1,100**Gain: **+8,000%**Days to Peak: **~370 days**

2016 HALVING

Jul 9, 2016

Reward: **25 to 12.5 BTC**Low: **\$650**Peak: **\$19,700**Gain: **+2,900%**Days to Peak: **~518 days**

2020 HALVING

May 11, 2020

Reward: **12.5 to 6.25 BTC**Low: **\$8,600**Peak: **\$69,000**Gain: **+700%**Days to Peak: **~550 days**

2024 HALVING

Apr 20, 2024

Reward: **6.25 to 3.125 BTC**Low: **\$63,800**Peak: **\$126,000**Gain: **+100%**Days to Peak: **~535 days**

KEY OBSERVATIONS

- Returns are diminishing each cycle: 8,000% > 2,900% > 700% > 100%
- Days to peak are remarkably consistent: 370 > 518 > 550 > 535
- This is the first cycle where BTC hit an ATH BEFORE the halving (driven by ETFs)
- The Oct 2025 peak of \$126K may have already been this cycle's top

BEAR MARKET DRAWDOWNS

Every Bitcoin cycle ends with a significant drawdown. The severity has been decreasing over time, but the pattern is clear: what goes up, comes down.



THE PATTERN:

Drawdowns are getting shallower each cycle: $-93\% > -86\% > -84\% > -77\%$.

WHERE WE ARE NOW

Peak:	\$126,272 (October 6, 2025)
Drawdown:	-52% from peak (and counting)
Context:	Largest single-day drop since FTX collapse (2022)
ETF Flows:	Institutional investors turned net sellers
If -70% plays out:	\$37,800 If -77% plays out: \$29,000

Bitcoin has broken below its 365-day moving average for the first time since March 2022.

THREE SCENARIOS FROM HERE

Nobody knows what happens next. But we can map the probabilities.

SCENARIO A: THE RECOVERY

Bitcoin finds support in the \$55K-\$65K range and builds a base.

Macro conditions improve (rate cuts, liquidity expansion).

A slower, more institutional-driven rally takes BTC back toward \$100K+.

This would mirror a "mid-cycle correction" rather than a full bear market.

What to watch: Fed policy pivot, ETF inflows returning, M2 expansion.

SCENARIO B: THE EXTENDED BEAR

October 2025 was indeed the cycle top. Drawdown continues to -65% to -77%.

Target range: \$29,000 - \$44,000 based on historical drawdown patterns.

Bear market lasts ~12 months, bottoming late 2026.

This aligns with the traditional 4-year cycle pattern.

What to watch: Break below \$55K, sustained ETF outflows, miner capitulation.

SCENARIO C: THE BROKEN CYCLE

The 4-year cycle is weakening due to institutional participation.

Volatility compresses. No blow-off top, no -80% crash.

Bitcoin trades in a wider range (\$50K-\$120K) for an extended period.

Behaves more like a macro asset than a speculative instrument.

What to watch: Volatility compression, correlation with traditional markets.

YOUR ACTION PLAN

The market doesn't care about your feelings. Here's what to actually do.

01

KNOW YOUR TIMEFRAME

Are you a trader or an investor? Traders should be reducing exposure and waiting for confirmation of trend. Investors should be mapping DCA levels.

02

MAP YOUR LEVELS IN ADVANCE

Don't wait until Bitcoin hits \$40K to decide what you'll do. Write down your buy levels, your sell levels, and your position sizes NOW while you're calm.

03

REDUCE LEVERAGE OR ELIMINATE IT

\$2B+ in liquidations this week alone. Leverage in a downtrend is how accounts go to zero. If you're leveraged long right now, you're gambling, not trading.

04

WATCH LIQUIDITY, NOT CANDLES

Track M2 money supply, Fed policy announcements, and ETF flows. These are the actual drivers. Chart shapes without macro context are just pretty pictures.

05

ZOOM OUT ON YOUR TIMELINE

Every previous -50%+ drawdown in Bitcoin history was followed by new all-time highs. The question isn't IF Bitcoin recovers. It's WHEN, and whether you survive.

06

PROTECT YOUR CAPITAL FIRST

You don't need to catch the bottom. You need to still have money when the opportunity arrives. Capital preservation is the skill that separates survivors.

THE BOTTOM LINE

Two charts can look identical and mean completely different things. Context is everything.

In 2020, Bitcoin had the perfect storm: a halving, trillions in printed money, stimulus checks, and a recovery from an -84% bear market.

In 2026, none of those catalysts exist.

That doesn't mean Bitcoin is dead. It means you need to understand WHERE you are in the cycle before you make decisions.

The traders who survive are the ones who use data, not chart shapes. Not vibes. Not narratives.

History.

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